

DISTRICT IMPACT ADDENDUM: The Opportunity Cost of Inaction

To: The Senate Republican Leadership & Appropriations Committee

From: Daniel Hughes 29th Senatorial District (Argall)

Subject: Reclaiming Pennsylvania's Capital – District-Level Analysis

Policy Disclaimers

- **Disclaimer of Origin:** This document reflects the distilled policy insights of a dedicated Pennsylvania constituent, informed by years of focused cannabis advocacy and public policy experience. It is presented independently and does not represent the position or product of any professional lobbying entity or institutional think tank.

Note to Legislator:

This addendum translates the macro-economic data of the previous reports into the specific, granular reality of your district. While the "Border Bleed" is often discussed as a state-level abstraction, this document quantifies exactly what that daily forfeiture means for the projects, schools, and infrastructure in your own backyard. **It is a direct accounting of the local opportunities we are currently funding for our neighbors instead of ourselves.**



Analytical Basis

- **Estimated Monthly Border Bleed:** \$18,000,000 ((Mature Market Run Rate) Note: Gravity model projections suggest upper bound of \$25.5M with full market maturation.
 - **Daily Estimated Revenue Loss:** \$600,000 (based on \$18M monthly baseline) High Estimate: \$850,000 (if monthly loss reaches \$25.5M as markets mature)
 - **Fiscal Reality:** The following projects are actual recent priorities in your districts that required debt, loans, or years of lobbying. In every instance, **less than one month** of the revenue we

currently donate to New Jersey and Ohio could have paid for them in cash.



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To: The Senate Republican Caucus
From: Daniel Hughes, Constituent (29th District)
Subject: Reclaiming Pennsylvania's Capital – District-Level Analysis

Note to Legislator:

The "Border Bleed" is not a theoretical economic concept; it is a direct subtraction from your district's ability to function. Below is an accounting of the specific local priorities currently being defunded by our refusal to regulate the cannabis market, while New Jersey, Maryland, Ohio, and New York collect the revenue generated by your constituents.



Analytical Framework

While precise cross-border cannabis purchasing data is not publicly available,
multiple independent analyses suggest Pennsylvania is forgoing significant tax revenue:

- The Independent Fiscal Office projects \$271M in annual mature-market revenue
- The Marijuana Policy Project estimates \$320-610M by year four
- Neighboring states (NJ, NY, MD, OH) collectively generated \$200M+ in 2024

For illustrative purposes, this analysis uses a conservative \$18M monthly baseline (\$216M annually), representing the lower end of credible projections.

This translates to approximately \$600,000 in daily forgone revenue.

The following district-level examples demonstrate the opportunity cost of

inaction, showing how even a portion of this revenue could fund local priorities currently requiring debt financing or multi-year grant competitions.



METHODOLOGICAL NOTE FOR LEGISLATIVE STAFF

This analysis intentionally uses conservative revenue estimates and compares forgone cannabis revenue against actual local projects requiring debt financing.

We acknowledge:

- Cross-border sales data is estimated, not measured
- Legalization would not capture 100% of current illicit market activity
- Implementation costs and market ramp-up time must be factored

However, even using the most conservative projections from Pennsylvania's own Independent Fiscal Office (\$271M annually at maturity), the opportunity cost of continued inaction is substantial—particularly when measured against projects in your district that currently rely on competitive grants or debt instruments.

****Important Note:**** The \$18M monthly baseline used throughout this analysis is an illustrative estimate for comparative purposes. Actual cross-border purchasing by Pennsylvania residents may vary based on price differentials, enforcement, and consumer behavior. However, even if the true figure is 50% lower, the opportunity cost remains substantial when measured against district-level projects requiring competitive grants or debt financing.

1. Senator Joe Pittman (District 41)

Armstrong, Indiana, Jefferson, and Westmoreland Counties

The District Priority: In January 2025, you announced \$10 million in PENNVEST funding for the Municipal Authority of Westmoreland County's Lead Service Line

Replacement Project, affecting Vandergrift, East Vandergrift, Hyde Park, and West Leechburg.

The Opportunity Cost:



Debt vs. Revenue: That funding includes a \$5.4 million low-interest loan, creating long-term debt for ratepayers. The revenue lost to neighboring states in just 17 days could have funded this entire \$10 million project in cash—eliminating debt service entirely and protecting 1,000 families from lead exposure without burdening them with loan repayments.

*  Elderton School: Recent grants for the Elderton School roof represent just 36 hours of the revenue we currently surrender to Ohio dispensaries.

2. Senator Scott Martin (District 13)

Lancaster and Berks Counties

The District Priority: You championed the Pediatric Cancer Research Fund, securing a historic \$10 million transfer in recent budgets.

The Opportunity Cost:

*  Research Funding: The annual "Border Bleed" (\$216M+) is 20 times larger than that hard-won \$10 million transfer.

*  The Endowment Model: A single month of recaptured revenue (\$18M) could create a permanent, self-sustaining endowment for pediatric research that exceeds the current annual allocation, ending the need to fight for this line item every budget cycle.

*  Agricultural Conservation: The Clean Streams Fund is critical for Lancaster. The revenue lost to Maryland in just two months (\$36M+) would fully capitalize every shovel-ready agricultural conservation project in Lancaster County.

3. Senator Kim Ward (District 39)

Westmoreland County

The District Priority: You have consistently fought for RACP grants to support projects like the Arnold Palmer Regional Airport expansion and the Hempfield Office Park.

The Opportunity Cost:

*  The Replacement Rate: The state awards roughly \$15 million in RACP funds to Westmoreland County in a good year. We lose that exact amount (\$15M) to neighboring states every 21 days.

*  Community Assets: Projects like the Weatherwood Community Park require complex grant stacks. The revenue lost in just 4 days

(\$2.4M) covers the typical state contribution to such projects.

4. Senator Daniel Laughlin (District 49)

Erie County

The District Priority: In 2025, you announced \$10 million in PENNVEST funding to replace lead service lines for Erie Water Works.

The Opportunity Cost:

- * 💧 Lead Lines: While the funding was secured, much of it came as loans. The cannabis tax revenue from just 17 days of statewide sales could pay cash for a \$10 million lead line replacement project, freeing Erie ratepayers from decades of debt service.

- * ⚓ Bayfront Development: You fought for millions for the Erie Bayfront Market. We donate that same amount to New York and Ohio tax coffers every two weeks.

5. Senator Dave Argall (District 29)

Carbon, Luzerne, and Schuylkill Counties

The District Priority: You championed the \$1.76 million grant for Phase II of the "Center for Education, Business and the Arts" (CEBA) in downtown Shenandoah.

The Opportunity Cost:

- * 🏗️ Revitalization: That \$1.76 million grant represents just 72 hours of the revenue currently bleeding across our borders.

- * 🏠 Blight Strategy: Senate Bill 345 (Act 152 expansion) relies on raising county recording fees to fund demolition. A single month of "Border Bleed" recapture (\$18M) could fund the demolition of 720 blighted buildings (at \$25k/avg) without raising a single fee on Schuylkill County homeowners.

6. Senator Lisa Baker (District 20)

Luzerne, Pike, Susquehanna, Wayne, and Wyoming Counties

The District Priority: You established the Veterans Trust Fund (VTF). Since its inception, the VTF has awarded approximately \$8-10 million total.

The Opportunity Cost:

- * 🇺🇸 The Scale: The "Border Bleed" loses \$18 million every month. That means every two weeks, we lose more money to the illicit market than the Veterans Trust Fund has awarded in its entire history.

- * 📶 Broadband: You fight for rural connectivity in Wayne and Pike

counties. The \$18 million lost in January alone could have fully subsidized fiber expansion for every unserved home in Wayne County.

7. Senator Gene Yaw (District 23)

Bradford, Lycoming, Sullivan, Tioga, and Union Counties

The District Priority: As Chair of Environmental Resources & Energy, you have correctly identified that federal bureaucratic barriers and wage mandates are slowing down infrastructure deployment in the Northern Tier.

The Opportunity Cost:

- *  State Sovereignty: State-generated cannabis revenue is not subject to federal Davis-Bacon wage mandates or NEPA delays. Recapturing this revenue creates a \$250 million/year infrastructure fund that is 100% under state control, allowing you to deploy projects to Lycoming County on your terms, not Washington's.

8. Senator Devlin Robinson (District 37)

Allegheny County

The District Priority: As Chair of Labor & Industry, you championed the "Max Manufacturing Initiative" (Act 24) to boost advanced manufacturing.

The Opportunity Cost:

- *  Capitalization: While the policy exists, funding is the constraint. The annual cannabis revenue (\$216M+) could serve as the permanent, revolving capital source for this initiative, ensuring no advanced manufacturing project in the Parkway West corridor ever stalls for lack of state backing.

9. Senator Camera Bartolotta (District 46)

Beaver, Greene, and Washington Counties

The District Priority: You have consistently secured RACP grants for economic development, including projects like Cool Valley and Canonsburg Hospital.

The Opportunity Cost:

- *  The Replacement Rate: A typical \$10 million RACP award takes months to approve. We lose that \$10 million to Ohio and West Virginia every 18 days.

- *  Vo-Tech Funding: Equipment grants for schools like the Western Area Career & Technology Center are often less than \$100k. We lose

that amount in 4 hours. We could buy that equipment for every Vo-Tech in the state every single day.

10. Representative Abby Major (District 60)

Armstrong and Westmoreland Counties

The District Priority: You have celebrated grants for Apollo and Leechburg fire departments.

The Opportunity Cost:

- *  First Responders: A typical grant round of \$1.7 million is lost to the black market every 3 days.

- *  The Reality: In a regulated market, you could fund a new \$1 million ladder truck for a different volunteer fire company in your district every single week.

11. Senator Kristin Phillips-Hill (District 28)

York County

The District Priority: As Majority Caucus Chair and Vice Chair of Communications & Technology, you have led the fight to close the digital divide through the PA Broadband Development Authority.

The Opportunity Cost:

- *  The Federal Bottleneck: Broadband expansion is currently slowed by federal BEAD grant red tape. The revenue lost to Maryland (which your district borders directly) in 30 days (\$18M) would allow the state to fund a "Pennsylvania-First Fiber Fund" free of federal interference.

- *  The Direct Bleed: Your constituents are driving across the Mason-Dixon line to Maryland dispensaries daily. A single month of recaptured revenue could fully subsidize fiber connections for 2,500 rural homes.

12. Senator Elder Vogel (District 47)

Beaver, Butler, and Lawrence Counties

The District Priority: As Agriculture Chair, you have been the staunchest defender of the Pennsylvania dairy industry and the PA Farm Bill.

The Opportunity Cost:

- *  Dairy Stabilization: The "Dairy Investment Program" relies on limited grant pools. The revenue lost to Ohio (which borders your district) in 60 days (\$36M) could provide a \$50,000 modernization grant to every struggling dairy farm in Beaver and Lawrence counties.

- *  Crop Value: By refusing to pass the Agricultural Cultivator License (SB420), we deny your farmers the high-value rotation crop (hemp/

cannabis) that is keeping farms profitable in New York and Maryland.

13. Senator Patrick Stefano (District 32)

Bedford, Fayette, Somerset, and Westmoreland Counties

The District Priority: As Chair of Consumer Protection, you focus heavily on workforce development and the tourism economy of the Laurel Highlands.

The Opportunity Cost:

- * 🏔️ Tourism Infrastructure: The Laurel Highlands Conservation Landscape relies on DCNR grants. The tax revenue lost in just 7 days (\$4.2M) covers the entire state investment for major trail connectivity projects.

- * 🚑 Rural EMS: Your district faces acute EMS funding shortages. The revenue lost every 24 hours (\$600,000) could purchase two fully equipped ambulances for volunteer squads in Somerset County.

14. Senator Wayne Langerholc (District 35)

Cambria, Centre, and Clearfield Counties

The District Priority: As the new Chair of Aging & Youth, you are now on the front lines of the crisis in senior care and child welfare funding.

The Opportunity Cost:

- * 🧒 Child Welfare Caseloads: County CYS agencies are overwhelmed. The revenue lost to the black market in one month (\$18M) could fund hiring bonuses and caseload reduction grants for every CYS agency in your district, preventing burnout and protecting children.

- * 🧓 Senior Centers: Senior community centers in Cambria and Clearfield rely on shrinking lottery funds. Cannabis revenue provides a new, dedicated stream to modernize these facilities without touching the General Fund.

15. Senator Doug Mastriano (District 33)

Adams and Franklin Counties

The District Priority: As Chair of Veterans Affairs, you champion fiscal independence for seniors and services for those who served. Your district sits directly on the Maryland border.

The Opportunity Cost:

- * 🇺🇸 County Veterans Affairs: County VA directors are chronically underfunded. The revenue lost to Maryland in 14 days (\$8.4M) could double the outreach budget for every County VA office in the

Commonwealth, ensuring no veteran misses benefits.

- *  The Maryland Donation: Every day, cars with Pennsylvania plates cross Route 15 into Maryland to purchase cannabis. SB420 stops this wealth transfer and repatriates that capital to Franklin County.

16. Senator Jarrett Coleman (District 16)

Bucks and Lehigh Counties

The District Priority: As Chair of Intergovernmental Operations, you ran on a platform of empowering parents and reducing the cost of government.

The Opportunity Cost:

- *  EITC Expansion: The Educational Improvement Tax Credit (EITC) program is consistently oversubscribed. The revenue lost to the illicit market in one month (\$18M) could provide thousands of additional scholarships for students in your district.

- *  Tax Reduction: You cannot cut taxes if the state is bleeding revenue. Capturing this \$216M/year allows for business tax reductions that make the Lehigh Valley more competitive against New Jersey.

17. Senator Tracy Pennycuik (District 24)

Berks and Montgomery Counties

The District Priority: As the new Chair of Communications & Technology and a combat veteran, you focus on modernizing PA's infrastructure and serving veterans.

The Opportunity Cost:

- *  Digital Equity for Vets: Telehealth is critical for veterans, but requires broadband. The revenue lost in 10 days (\$6M) could fund a dedicated "Veterans Connectivity" grant program to ensure every disabled veteran in your district has high-speed access for medical care.

- *  Veterans Homes: Pennsylvania's six veterans homes constantly require upgrades. The revenue lost in 14 days (\$8.4M) would fully fund a modernization project for the Southeastern Veterans' Center.

18. Senator Rosemary Brown (District 40)

Lackawanna, Monroe, and Wayne Counties

The District Priority: As Chair of Community, Economic & Recreational Development, you face unique pressure from New Jersey and New York commuters.

The Opportunity Cost:

*  The Commuter Tax: Your constituents work in NY/NJ and pay taxes there. Now, they pay cannabis sales tax there too. SB420 creates a "Reverse Gravity" effect, incentivizing NY/NJ residents to buy in PA (due to our lower 8% tax), turning your district into a net revenue importer.

*  School Funding: The revenue lost every 48 hours (\$1.2M) could fund a new STEM lab or security upgrade for a school district in the Poconos.

19. Senator Frank Farry (District 6)

Bucks County

The District Priority: As Chair of Institutional Sustainability and a volunteer firefighter, you know the crisis of volunteer recruitment and equipment costs.

The Opportunity Cost:

*  The Crisis Fund: A new ladder truck costs over \$1.5 million. The revenue bleeding to New Jersey (which borders your district) every 3 days (\$1.8M) buys a new ladder truck.

*  SRCP Grant Expansion: Dedicating just 10% of cannabis revenue would double the available grant money for every volunteer company in Bucks County.

20. Senator Chris Gebhard (District 48)

Berks, Lancaster, and Lebanon Counties

The District Priority: As Chair of Banking & Insurance, you focus on community revitalization and small business growth.

The Opportunity Cost:

*  Downtown Revitalization: Main Street grants are highly competitive. The revenue lost to the black market in one week (\$4.2M) could capitalize a revolving loan fund for small business startups in downtown Lebanon.

*  Manufacturing Competitiveness: Your district relies on manufacturing. Inaction puts Lebanon manufacturers at a competitive disadvantage against Ohio and New York.

21. Senator Greg Rothman (District 34)

Cumberland, Dauphin, and Perry Counties

The District Priority: As Chair of Game & Fisheries, you champion economic development and the logistics industry.

The Opportunity Cost:

*  Habitat Restoration: State Game Lands require maintenance. The revenue lost in 5 days (\$3M) exceeds the typical annual habitat improvement budget. Cannabis revenue could improve hunting grounds without raising license fees.

*  Infrastructure Investment: The trucking hubs in your district punish local roads. The annual "Border Bleed" (\$216M) could create a dedicated "Logistics Impact Fund" to repair local municipal roads.

22. Senator Michele Brooks (District 50)

Crawford, Lawrence, and Mercer Counties

The District Priority: As Chair of Health & Human Services, you fight for rural hospitals and rural health access.

The Opportunity Cost:

*  Rural Health Stabilization: Rural hospitals operate on razor-thin margins. The revenue lost to Ohio (which borders your entire western flank) in one month (\$18M) could provide stabilization grants to keep obstetrics and emergency departments open in Mercer and Crawford counties.

*  Volunteer EMS: In rural areas, EMS is breaking. We lose the cost of a new ambulance to the Ohio black market every single day.

23. Senator Scott Hutchinson (District 21)

Butler, Clarion, Erie, Forest, Venango, and Warren Counties

The District Priority: As Chair of Finance, you represent the heart of Pennsylvania's energy and timber industries.

The Opportunity Cost:

*  Orphan Well Plugging: Plugging abandoned oil wells is expensive. Instead of taxing the energy industry, we could use the \$216M annual cannabis revenue to fund a massive well-plugging initiative, creating jobs in your district.

*  Volunteer Fire: Your district has the highest density of volunteer departments with the lowest population base to support them. Inaction denies them a dedicated revenue stream.

24. Senator Joe Picozzi (District 5)

Philadelphia County

The District Priority: As Chair of Urban Affairs & Housing, you won a historic victory by focusing on quality-of-life issues: trash, blight, and

safe streets.

The Opportunity Cost:

- *  Neighborhood Clean-Up: The revenue lost to New Jersey in just 10 days (\$6M) could fund a "Clean Streets Corps" employing hundreds of Philadelphia youth to clean neighborhoods.

- *  Home Repair: Keeping seniors in their homes is critical. The "Border Bleed" capital could fund the "Whole Home Repairs" program at scale, ensuring Northeast Philly seniors can fix roofs and windows without loans.

25. Senator Lynda Schlegel Culver (District 27)

Columbia, Luzerne, Montour, Northumberland, and Snyder Counties

The District Priority: As the new Chair of Education, you focus on fair funding for rural schools and infrastructure rehabilitation.

The Opportunity Cost:

- *  Rural School Equity: Rural districts struggle with facilities funding. The revenue lost in one month (\$18M) could seed a "Rural School Capital Improvement Fund," fixing roofs and boilers in Northumberland and Snyder counties without raising local property taxes.

- *  Bridge Repair: Your district has many aging bridges. A small bridge replacement costs \$2-3 million. We lose that amount to the illicit market every 4 days.

26. Senator Cris Dush (District 25)

Cameron, Centre, Clinton, Elk, Jefferson, McKean, and Potter Counties

The District Priority: As Chair of State Government, you are a staunch defender of election integrity and the PA Constitution. You represent the "PA Wilds."

The Opportunity Cost:

- *  Conservation Funding: Maintaining the PA Wilds for hunting and tourism requires DCNR funding. The revenue lost in 10 days (\$6M) equals a major conservation grant.

- *  Constitutional Sovereignty: The current system allows federal overreach. Passing SB420 (based on Anti-Commandeering) reinforces the 10th Amendment, providing a state-funded legal defense fund to litigate against federal encroachment.

27. Senator Dawn Keefer (District 31)

Cumberland and York Counties

The District Priority: As Chair of Local Government, you focus on regulatory reform, cutting red tape, and fiscal discipline.

The Opportunity Cost:

- *  Regulatory Reform Fund: You want to modernize state government. The \$216M annual revenue can fund the digitization of state permitting systems, reducing wait times for all businesses without needing a general tax hike.

- *  Small Business Relief: Your district has a strong small business base. The recaptured revenue allows for a reduction in the CNIT (Corporate Net Income Tax), making PA more competitive.

28. Senator Judy Ward (District 30)

Blair, Fulton, Huntingdon, Juniata, and Mifflin Counties

The District Priority: As the new Chair of Transportation, you are focused on the crisis in rural road maintenance and bridge safety.

The Opportunity Cost:

- *  Rural Road Maintenance: Liquid Fuels funding is declining as vehicles become more efficient. The revenue lost to the black market in two months (\$36M) could fill the paving budget gap for every township in Blair and Fulton counties.

- *  Local Bridges: Structurally deficient bridges isolate rural communities. We lose the cost of a full bridge replacement to the illicit market every week.